



SERVICE LEVEL AGREEMENT

CAJV (Pty) Ld

16th April 2024



CONTENTS

1	PURPOSE AND OBJECTIVES	5
1.1	Parties to the Agreement.....	5
1.2	Commencement Date	5
1.3	Terms and Renewal.....	5
1.4	Duration of Agreement	5
1.5	Non-Exclusivity	5
2	INTERPRETATION AND DEFINITIONS	5
2.1	Definitions	5
2.2	Interpretation and General Provisions	7
3	BACKGROUND OF SERVICES	7
3.1	Place of Service Delivery	7
3.2	Changes Control	7
3.3	Fees and Expenses	7
4	PERFORMANCE, TRACKING AND REPORTING	7
4.1	Key Personnel Changes	7
4.2	How each Service will be Monitored	7
4.3	Benchmarks, Targets and Metrics to be Utilised	7
5	SERVICE LEVELS AND CONTINUOUS IMPROVEMENT	8
6	SUPPORT AND SERVICES	8
7	COMPENSATION	8
7.1	Fees	8
7.2	Adjustment of Service Fees.....	8
7.3	Reimbursable Expenses	8
7.4	Invoicing and Payment.....	9
7.5	Payment Terms	9
7.6	VALUE ADDED TAX (VAT)	9
7.7	Late Payment and Interest.....	9
8	CUSTOMER DUTIES AND RESPONSIBILITIES	9
8.1	Processing and Authorization of Invoices	9
8.2	Access to Client Personnel and Facilities	9
8.3	Approvals and Information	9
9	WARRANTIES AND REMEDIES	9
9.1	Quality of Service	9
9.2	Indemnification	10



9.3	Third Party Claims	10
9.4	3 rd Party Vendor Contracts.....	10
9.5	Software and Application Licensing	10
9.5.1	Licensing.....	10
9.5.2	The Hosting Centre Licensing.....	10
9.6	Exclusions	11
9.7	Defaulting Performances	11
9.8	Force Majeure.....	11
10	SECURITY.....	11
10.1	Physical Access	11
10.2	Logical Access.....	11
10.3	Compliance with Client Security Policies	11
11	INTELLECTUAL PROPERTY RIGHTS	12
11.1	Court Orders	12
11.2	Destruction of Data and Records or Return on Termination.....	12
11.3	System Confidentiality – Shared Environment	12
12	DISPUTE RESOLUTION	12
12.1	Informal.....	12
12.2	Arbitration.....	13
13	LIMITATION OF LIABILITY	13
14	DURATION & TERMINATION	13
14.1	Payment on Termination	13
14.2	Consequences of Termination	14
15	GENERAL	14
15.1	Relationship	14
15.2	Notices	14
15.3	Standard of Care	14
15.4	Assignment.....	14
15.5	Entire Agreement.....	14
15.6	Severability.....	15
15.7	Changes to the Agreement	15
15.8	Non-Solicitation	15
15.9	Exhibits.....	15
15.10	Governing Law	15
16	SIGNATURES.....	16
17	SCHEDULES.....	17



17.1	SCHEDULE A –STANDARD SERVICES	17
17.1.1	Server Management	17
17.1.1.1	Server Support	17
17.2	SCHEDULE B – SERVICE AVAILABILITY	17
17.2.1	Support.....	17
17.3	SCHEDULE C – PLACE OF DELIVERY	18
17.3.1	Hosting Centre - Primary.....	18
17.3.2	Physical Address - Supplier	18
17.4	SCHEDULE D – CHANGE CONTROL PROCEDURES	19
17.4.1	Operational Changes.....	19
17.4.2	Emergency System Changes	19
17.5	SCHEDULE E – SERVICE MONITORING AND PERFORMANCE MEASUREMENT	20
17.5.1	User Requests	20
17.6	SCHEDULE F – SERVICE LEVEL REPORTING	21
17.7	SCHEDULE G – SUPPORT & SERVICE DESK SERVICES	22
17.7.1	Problem Definition	22
17.7.2	Problem Escalation.....	22
17.8	SCHEDULE H – FEES AND EXPENSES	23
17.9	SCHEDULE I – NOTICES.....	24
	Physical Address.....	24
	Physical Address.....	24
17.10	SCHEDULE J – CHANGES TO AGREEMENT.....	25
17.10.1	Contract Change Management Procedure	25



1 PURPOSE AND OBJECTIVES

This Agreement outlines the terms and conditions under which the Supplier will deliver specified services (hereinafter referred to as "the Services") to the Client and/or its Affiliates. The purpose of this Agreement is to establish a clear framework for the provision of high-quality Services, ensuring that the Client's requirements are met in accordance with the agreed-upon standards.

Upon acceptance by both parties, this document will serve as the Master Services Agreement (MSA), governing the relationship and responsibilities between the Supplier and the Client for the delivery and management of the Services.

1.1 Parties to the Agreement

This Agreement is entered into between:

Sautech (Pty) Ltd, a company duly incorporated in accordance with the laws of South Africa, with Registration Number: 2003/006814/07 (hereinafter referred to as "the Supplier"),

and

CAJV (Pty) Ltd a company duly incorporated in accordance with the laws of South Africa, with Registration Number: 2015/022705/07 (hereinafter referred to as "the Client").

1.2 Commencement Date

This Agreement will commence on **16th April 2024**.

1.3 Terms and Renewal

The annual anniversary of this Agreement shall be **28 February** of each calendar year, commencing from the following business year after the execution of this Agreement. On this date, the fee structure outlined herein may be subject to an adjustment based on the standard rate linked to the annually released Consumer Price Index (CPIX) rate, where applicable to the specific service or services provided.

Prior to any fee adjustment taking effect, the services and the corresponding fees will be reviewed, discussed, and agreed upon in writing by both the Supplier and the Client.

1.4 Duration of Agreement

This Agreement shall operate on a month-to-month basis following the initial signoff and will automatically renew for successive one-month periods at the end of each month, including subsequent anniversaries of the commencement date. Either party may terminate this Agreement by providing written notice at least **60 (SIXTY)** days prior to the intended termination date.

1.5 Non-Exclusivity

It is expressly understood and agreed that this Agreement does not confer any exclusive rights to the Supplier to conduct business with the Client. The Client reserves the right to engage other suppliers for the procurement of similar services.

Additionally, nothing in this Agreement restricts the Supplier from marketing, developing, offering, or providing similar services or products to other clients or potential clients.

2 INTERPRETATION AND DEFINITIONS

2.1 Definitions

"Affiliate" means a subsidiary organisation, sister organisation or an organisationally connected entity to either party.

"Benchmarks, targets and metrics" means the agreed numeric criteria against which performance under this Agreement is to be measured.

"Business Days" - Business days has been defined as Monday to Friday, 8am to 5pm, excluding public holidays.



“Change control procedures” means the agreed process to be followed when changes are required either to this Agreement or to the Services and as set out under Schedule D.

“Commencement date” means the date that the Agreement is considered to be effective.

“Defective or inadequate performance” means the delivery of services where the performance levels do not meet an agreed minimum criterion.

“Disclosing party” means the party who has disclosed confidential information to the other party.

“Initial period” means the Agreement period from the Commencement date to the first renewal date.

“Intellectual Property Rights” mean the registered or non-registered ownership of patents, trademarks, registered design, know-how or copyright.

“Key personnel” mean those persons employed by the Supplier who have a key role in the delivery of the services to the Client.

“Non-standard services” means those services which are customised to meet the requirements of the Client.

“Place of service delivery” means the address or addresses of the Client’s or Supplier’s premises where the Service delivery is deemed to take place.

“Prime Rate” means the interest rate, (expressed as a percentage per annum) from time to time, published by ABSA Bank Limited as the minimum overdraft rate at which it lends to its most valued customers in the corporate sector, as certified by any manager of such bank, whose appointment or authority it shall not be necessary to prove, which certificate shall, in the absence of manifest error, be prima facie proof of the contents thereof;

“Problem escalation” means the agreed procedure for alerting and notifying increasingly senior members of the Supplier’s management of the non-resolution of problems.

“Problem management” means the agreed procedures for providing support and problem resolution services to the Client.

“Professional fees” means the remuneration or compensation, other than reimbursable expenses, due to the Supplier for the provision of the Services.

“Receiving party” means the party who has received confidential information from the other party.

“Service availability” means the times and periods that the Supplier will make the Services available to the Client.

“Service component” means a divisible and identifiable part of the overall Services to be delivered.

“Service level credits” means a mechanism by which amounts are deducted from the amounts to be paid under the contract to the Supplier if actual Supplier performance standards are set in the service levels.

“Service review meetings” mean regular meetings that are held between representatives of the Supplier and the Client specifically to discuss issues arising from the delivery of the Services including the performance of the Service delivery.

“Specified services” means those Services that are specified in Schedule A of this Agreement.

“Standard services” mean those Services that the Supplier delivers to its Clients without significant customisation.

“Support and Service desk services” mean the specified support services provided by the Supplier to the Client to assist the Client’s personnel to understand operate and execute the delivered Services.

“Value Added Tax” - All quoted prices exclude 15% Vat.

“Payment Terms” – “See 7.5”.

“The Client Staff and Resources costs”– All costs associated with The Client or The Client’s representatives, have not been included in this proposal .

“Rates” – Should the project cost overrun in any way, The Supplier will first discuss terms with The Client and approval needs to be given on an Amendment Agreement to the original.



2.2 Interpretation and General Provisions

- ✧ The clause headings in this Agreement are included for convenience only and shall not affect the interpretation or construction of this Agreement.
- ✧ Any expressions defined in this Agreement shall have the same meanings in any schedules or annexures hereto, unless such schedules or annexures contain conflicting definitions.
- ✧ The expiration or termination of this Agreement shall not affect those provisions that are explicitly stated to survive such expiration or termination or those that, by their nature, must continue to apply after such expiration or termination, even if not expressly stated.
- ✧ References to a person shall include both natural and juristic persons, and vice versa.
- ✧ Any reference to a gender shall include the other gender.

3 BACKGROUND OF SERVICES

The Supplier is contracted to perform the following services to The Client:

- ✧ Microsoft Office 365 – Business

3.1 Place of Service Delivery

The Services covered by this Agreement are to be delivered at the address or addresses given in **Schedule C** to this Agreement.

3.2 Changes Control

Either party may propose changes to the scope, nature, or time schedule of the Services performed under this Agreement. Any proposed changes, including adjustments to fees and expenses resulting from such changes, must be mutually agreed upon by both parties.

All changes shall be subject to the Change Control procedures outlined in **Schedule D** of this Agreement and must receive written approval from both parties before taking effect.

3.3 Fees and Expenses

All services defined throughout this Agreement are set out in Schedule H to this Agreement.

4 PERFORMANCE, TRACKING AND REPORTING

4.1 Key Personnel Changes

While the Supplier is not required to specifically name key personnel within this Agreement, the Supplier shall notify the Client in advance of any changes to key personnel that may affect the delivery of the Services to the Client.

4.2 How each Service will be Monitored

The performance of each individual Service will be monitored in accordance with the methodology outlined in **Schedule E** to this Agreement.

4.3 Benchmarks, Targets and Metrics to be Utilised

The performance of each individual Service will be monitored in accordance with the methodology outlined in **Schedule E** to this Agreement.



5 SERVICE LEVELS AND CONTINUOUS IMPROVEMENT

- ↪ The Supplier shall provide the Services in accordance with the agreed Service Levels, and will monitor these Service Levels as outlined in **Schedule F** to this Agreement.
- ↪ Reports on the actual service levels achieved will be made available to the Client upon request.
- ↪ The Parties may, from time to time, amend or supplement the Service Levels in accordance with the Contract Change Management Procedure set forth in **Schedule E**.
- ↪ Both Parties agree to proactively seek opportunities ("Opportunities") to:
 - Achieve greater efficiencies in the provision of the Services; and/or
 - Enable the Client to achieve improvements in its business through the innovative use of information technology; and/or
 - Propose innovative uses of information technology or other changes and improvements in the provision of the Services.
- ↪ In pursuit of these Opportunities, the Supplier shall, where applicable, propose specific business initiatives to the Client that could lead to greater efficiency and effectiveness in the use of information technology, along with other potential business benefits. Such proposals will be prepared at the Supplier's expense and shall address:
 - The method of implementing the proposed initiatives;
 - The timing of implementation;
 - The impact on Service Charges, if any; and
 - The manner and extent to which both Parties will share in the benefits resulting from the efficiencies gained.
- ↪ The Client is under no obligation to accept any such proposals. If the Client agrees to a proposal in writing, the Parties shall proceed with the implementation of the proposal.

6 SUPPORT AND SERVICES

The Supplier shall provide ongoing assistance to the Client to support the Services rendered under this Agreement. This support will include comprehensive Service Desk facilities and Hosting Services. The specific details of the Service Desk and Hosting Services are outlined in **Schedule G** to this Agreement.

7 COMPENSATION

7.1 Fees

The fees payable for the performance of either the Standard Services or Non-standard Services shall be in accordance with the fee structure defined in **Schedule H** to this Agreement.

7.2 Adjustment of Service Fees

The Service Fees shall be adjusted annually on the anniversary of the Commencement Date in accordance with the provisions outlined in **Schedule H**, if applicable. Additionally, the Service Fees may be adjusted to reflect any Service Level Credits, as calculated and agreed upon in accordance with **Schedule H**, if applicable.

7.3 Reimbursable Expenses

"Reimbursable Expenses" refer to agreed incidental services reasonably incurred by the Supplier in the performance of its obligations, plus a 10% administrative fee. The specific expenses that may be considered reimbursable are outlined in **Schedule H** to this Agreement. No expenses shall be incurred without the prior written approval of the Client.



7.4 Invoicing and Payment

The Supplier shall submit invoices to the Client on a monthly basis, with professional fees billed in advance and agreed reimbursable expenses billed in arrears. Each invoice shall clearly detail the work performed, the hours worked, and the reimbursable expenses incurred.

7.5 Payment Terms

All fees and expenses are to be paid to the Supplier in South African Rand via internet transfer to the account designated by the Supplier. Invoices are payable within **30 (THIRTY)** days of receipt.

Any amounts disputed in good faith may be deducted from the invoice, and the remainder must be paid by the due date. The Client shall notify the Supplier in writing within **7 (SEVEN)** days of receipt of the invoice, detailing the reasons for withholding payment.

Upon receipt of the dispute notice, the Supplier and Client will cooperate in good faith to resolve the dispute promptly and in a mutually acceptable manner. The Client agrees to pay any disputed amounts within **5 (FIVE)** days of resolution.

7.6 VALUE ADDED TAX (VAT)

The Supplier is registered for Value Added Tax (VAT) and must add VAT, as prescribed by the South African Revenue Service (SARS), to all amounts quoted within and outside of this Agreement. VAT is payable by the Client.

All amounts or quotations arising from or outside this Agreement are exclusive of VAT unless explicitly stated otherwise.

7.7 Late Payment and Interest

Any undisputed amount due by either party under this Agreement, whether pursuant to this clause or any other provision, that remains unpaid after the due date shall accrue interest at the prevailing Prime Rate, plus [X] percentage points, calculated from **15 (FIFTEEN)** days after the specified due date until the date of payment, both days inclusive, and compounded monthly.

8 CUSTOMER DUTIES AND RESPONSIBILITIES

8.1 Processing and Authorization of Invoices

The Client undertakes to process and settle all invoices by the specified due dates.

8.2 Access to Client Personnel and Facilities

The Client shall ensure that the Supplier has timely access to the appropriate Client personnel and will arrange for Supplier personnel to have suitable and safe access to the Client's facilities and systems.

8.3 Approvals and Information

The Client shall respond promptly to any requests from the Supplier for direction, information, approvals, authorisations, or decisions that are reasonably necessary for the Supplier to perform the Services. In any case, the Client shall provide such responses within **five (5)** working days.

9 WARRANTIES AND REMEDIES

9.1 Quality of Service

The Supplier warrants that the Services will be performed in a professional and workmanlike manner, consistent with industry standards reasonably applicable to such services. If the Client believes a breach of this warranty



has occurred and notifies the Supplier in writing, detailing the nature of the breach, the Supplier shall promptly correct any affected services to ensure compliance with the warranty.

Where the breach is capable of remedy, the Supplier shall correct the breach within **7 (seven)** days of receiving the notification.

9.2 Indemnification

In the event that the Client or the Client's employees suffer injury or property damage as a result of the Supplier's negligence, the Supplier shall reimburse the Client for that portion of any damages for which the Supplier is found to be liable.

9.3 Third Party Claims

The Supplier warrants that any works of authorship created by the Supplier's personnel will not infringe upon any third-party copyrights, patents, or trade secrets. In the event that a third party brings a claim against the Client for such infringements, the Supplier shall, at its own expense, settle the claim or defend the Client in such proceedings. In such cases, the Supplier will bear all settlement costs, damages, legal fees, and expenses awarded in the final determination of the matter.

9.4 3rd Party Vendor Contracts

Any Contract, external vendors, software or hardware purchased by the Client during the contract duration, the Supplier will not be held liable for the support required on the specific product. The Supplier will however liaise and cooperate in its respective support capacity with the Supplier to rectify and resolve the issues within a reasonable time.

9.5 Software and Application Licensing

9.5.1 Licensing

The Client is responsible for ensuring that all software used by its staff or affiliates and or contractors are fully licensed under its respective Agreements. The Supplier will not take responsibility for unlicensed products and will configure and support the software only on behalf of The Client. The Supplier will report the discrepancies, surpluses and shortfall of licenses in writing to The Client. The Client agrees to rectify the licensing as soon as reasonably possible.

9.5.2 The Hosting Centre Licensing

The Supplier warrants that the software the Supplier uses in the rendering of the Services or that it makes available to the Client for use in the rendering of the Services, is duly and properly licensed for the use and the extent of the use thereof, is currently under software maintenance and will be kept under software maintenance for the duration of the use thereof. The Supplier further warrants that it has obtained the written approval of the relevant software vendor/s:

- § For the use, management and maintenance of such software by itself, on its own equipment and at its own premises or on the equipment of the Client and its premises;
- § The Supplier shall forthwith and at the request of the Client, make such written approval available to the Client.

The Supplier has authorization from Microsoft to act on its behalf as a Microsoft Service Provider in terms of Licensing its hosted application for the purpose of the Suppliers' business and then renting these licenses to his Clients.



9.6 Exclusions

Neither Party shall be held responsible for any infringements of third-party copyrights, patents, or trade secrets where the other Party has made amendments to original documents or similar works prepared without the express approval of the relevant Party, or where the other Party fails to use the most recent versions of such works that have been delivered by the Party.

9.7 Defaulting Performances

In the event of any defective performance by the Supplier or failure to meet the agreed level of service, the Supplier will make reasonable efforts to restore the service to proper operating condition as a matter of urgency.

9.8 Force Majeure

Neither Party shall have any claim against the other Party ("the Affected Party") for any delay or failure of the Affected Party to carry out any of its obligations under this Agreement (except for a payment obligation in respect of Services already delivered but specifically excluding Services to be paid in advance) arising from or attributable to acts of God, war, terrorism, government, labour action or unrest, failure of Suppliers or contractors or any other cause whatsoever beyond the control of the Affected Party ("force majeure").

The performance of the obligations of the Affected Party shall, be suspended for the duration of the force majeure, which shall be deemed to commence only upon the date of written notice by the Affected Party to the other Party. A Party subject to force majeure shall take all steps that may reasonably be required to mitigate the effects thereof or to bring it to an end. Upon cessation of the force majeure, this Agreement shall again become fully operative and the Affected Party shall immediately resume its performance.

If the suspension of performance continues for more than thirty (30) consecutive calendar days, then either Party may summarily terminate this Agreement by written notice to the other Party, prior to the cessation of the force majeure.

10 SECURITY

10.1 Physical Access

The Client is to ensure that the Supplier's employees and sub-contractors are given reasonable authorised access to premises and equipment in order that the Services may be delivered and maintained in accordance with the terms of this Agreement.

10.2 Logical Access

The Client is to ensure that the Supplier's employees and sub-contractors are given necessary access to the software and systems in order that the Services may be delivered and maintained in accordance with the terms of this Agreement.

10.3 Compliance with Client Security Policies

In the event that the Client operates formal security policies, the Supplier will ensure that its employees are made aware of such policies and will also ensure on-going compliance with these policy statements. The Client will provide the Supplier with up to date information on its security policies and will keep the Supplier informed about any changes to these policies. Where no policies are in place the Supplier shall ensure that its employees and representatives act in accordance with international standards in terms of security and access to the Client's premises or systems.



11 INTELLECTUAL PROPERTY RIGHTS

Both Parties acknowledge the Intellectual Property Rights of the other, whether registered or unregistered.

Subject to the provisions of this clause and unless otherwise agreed, each Party and its respective Suppliers shall retain all existing and future Intellectual Property Rights in their data, information, software, hardware, tools, and other materials, including any future enhancements, improvements, and modifications thereof—whether stored on disk, tape, installed on any system, or otherwise—and whether or not the same is ever placed in the possession or control of the other Party.

During the term of this Agreement, the Client shall, to the extent that it is legally entitled, provide the Supplier with a non-exclusive right to use or modify any software, data, information, or other rights necessary for the provision of the Services, subject to the specific terms and conditions related to such usage.

Subject to any applicable licensing agreement, any work created, invention identified, or other Intellectual Property Rights developed at the Client's specific request (in writing) for the provision of the Services by the Supplier or any Sub-Contractor fully funded by the Client shall be the property of, and for the exclusive benefit of, the Client. The Supplier shall deliver, or procure delivery from its representatives, of such work and the necessary assignments of copyright or other Intellectual Property Rights.

11.1 Court Orders

If the receiving party is compelled by a Court Order to divulge any confidential information belonging to the disclosing party, the receiving party is permitted to release such information in accordance with the Court Order. Unless explicitly stated in the Court Order, the receiving party shall notify the disclosing party of the order to disclose and the specific information that is required to be disclosed.

11.2 Destruction of Data and Records or Return on Termination

Upon termination of this Agreement, the receiving party shall, at the option of the disclosing party, return all confidential information belonging to the disclosing party.

11.3 System Confidentiality – Shared Environment

The Supplier warrants that all Client information, hosted on a shared virtualized infrastructure are protected due to the following configurations.

- § Authorized Sautech staff have login information.
- § Microsoft Active Directory configuration with different organizational units.
- § Virtual Domains and Virtual Lan of Sub netted Networks.
- § SQL Server are setup with the core Microsoft technologies and guidelines.
- § All DMZ's and Network are configured and supported by our 3 Tier Network and Internet Security.
- § No external access to SQL server, only application layer access.

12 DISPUTE RESOLUTION

12.1 Informal

If the Parties are unable to resolve any dispute arising from this Agreement through joint cooperation or discussion between the individuals directly involved in the execution of this Agreement, within **7 (seven)** days of the dispute arising, or such extended period as the Parties may agree in writing, the dispute shall be referred to the most senior executives of the Parties, who shall make reasonable efforts to resolve the dispute within **5 (five)** days after it has been referred to them in writing.

If the dispute is not resolved through this process, it shall be referred to arbitration in accordance with the provisions set out in **Clause 12.2** below.



12.2 Arbitration

If the Parties agree to refer the dispute to arbitration, each Party:

- ↪ **Agrees** that the arbitration will be held at a mutually agreed venue, in accordance with the current rules of AFSA ("the Rules"), by **1 (one)** arbitrator appointed by agreement between the Parties. If the Parties cannot agree on the arbitrator within **10 (ten)** business days from the date they agree in writing to refer the dispute to arbitration, the arbitrator shall be appointed by the Secretariat of AFSA.
- ↪ **Expressly consents** to any arbitration under this clause being conducted as a matter of urgency and irrevocably authorizes the other Party to apply on behalf of both Parties to the Secretariat of AFSA, in terms of Article 23(1) of the Rules, for the arbitration to be conducted on an urgent basis.
- ↪ **Final and Binding Decision:** Subject to the clause below, the decision or award resulting from the arbitration shall be final and binding on the Parties, and may be made an order of court at the instance of either Party. The Parties irrevocably submit to the jurisdiction of the South Gauteng High Court of the Republic of South Africa (Johannesburg) should either Party wish to make the arbitrator's award an order of court.
- ↪ **Right of Appeal:** There shall be a right of appeal as provided for in Article 22 of the Rules.
- ↪ **Confidentiality:** The arbitration will be held in camera, conducted in English, and will be kept confidential by the Parties.
- ↪ **Interim Relief:** The provisions of this clause shall not preclude any Party from seeking access to an appropriate court for interim relief in the form of an interdict, mandamus, or order for specific performance pending the outcome of the mediation or arbitration, or in respect of such mediation or arbitration. For this purpose, the Parties irrevocably submit to the jurisdiction of the South Gauteng High Court of the Republic of South Africa (Johannesburg).

13 LIMITATION OF LIABILITY

- ↪ **Supplier's Responsibility:** The Supplier shall not be responsible for any damages arising from the failure of the Client, its Affiliates, or other Suppliers to perform their respective responsibilities.
- ↪ **Limitation of Liability:**
 - Neither Party shall be liable to the other Party, whether under indemnity or otherwise, for any loss or damage suffered by the other Party to the extent that such loss or damage arises, in whole or in part, from any act or omission of the other Party or its Affilia.
 - Notwithstanding any provision to the contrary in this Agreement, the Supplier's total liability to the Client, for all claims, actions, and occurrences arising under this Agreement or any Service Schedule forming part thereof, during each contract year, shall be limited to a sum equal to **12 (twelve) months' Fees** as set out under this Agreement, except in the case of gross negligence, wilful misconduct, or losses arising therefrom.
- ↪ **Exclusion of Special or Indirect Damages:** Neither Party shall be liable to the other for:
 - Any special or indirect damages, whether or not within the contemplation of the Parties; and/or
 - Loss of income or profit, howsoever arising, unless such loss or damage is the direct result of a Party's gross negligence or wilful misconduct.
- ↪ **Indemnification:** Each Party shall fully indemnify the other Party against any injury or death resulting from the negligent or wilful acts or omissions of such Party, or its employees or agents, acting within the scope of their employment pursuant to this Agreement.

14 DURATION & TERMINATION

The Hosting Agreement shall be effective on a month-to-month basis, commencing on the Commencement Date and continuing thereafter until terminated by either Party in accordance with the termination provisions of this Agreement.

14.1 Payment on Termination

In the event of termination of this Agreement for any reason, the Supplier shall be entitled to receive payment for all fees and reimbursable expenses due for services rendered up to the effective date of termination. Such payments shall be made in accordance with the terms of this Agreement.



14.2 Consequences of Termination

Upon termination of this Agreement, the Supplier (including its employees, representatives, subcontractors, and agents) shall continue to provide services up to the effective date of termination. Following the effective date of termination, the Supplier shall cease all further work immediately and shall promptly deliver to the Client, in hard copy or electronic form, all Client data, deliverables, outputs, work in progress, and other products of the Services, whether completed or incomplete. This includes any other documents, information, and working papers related to the Services. The Supplier shall do so to enable the Client to ensure full continuity of the Services or to arrange for a third-party service provider to do so from the date of termination.

15 GENERAL

15.1 Relationship

For the avoidance of doubt, the Parties acknowledge and agree that, in the performance of this Agreement, the Supplier shall at all times act as an independent contractor. Nothing in this Agreement shall be construed to create an employer/employee relationship, an agency, or a partnership of any kind between the Parties, nor shall it authorize either Party to incur any liability on behalf of the other, except as expressly provided herein.

15.2 Notices

Notices required under this Agreement shall be sent to the addresses and persons specified in **Schedule I** to this Agreement. Notices must be sent in writing via registered post, recorded post, express courier service, or delivered personally.

Either Party may, from time to time, by written notice to the other Party, change its domicilium address to any other address within the Republic of South Africa, provided such address is not a post office box or poste restante.

All notices under this Agreement shall be in writing and, when sent to the other Party (the "Addressee"), shall be deemed to have been received by the Addressee as follows:

- ✍ **If delivered by hand** to a responsible person during ordinary business hours at the recipient's chosen physical address, or transmitted by telefacsimile with a successful transmission printout, such notice shall be deemed to have been received on the first business day following delivery or transmission.
- ✍ **If posted by pre-paid registered post** from an address within the Republic of South Africa to the Addressee at its domicilium address, the notice shall be deemed to have been received on the tenth business day after posting.
- ✍ **If delivered by email**, the notice shall be deemed to have been received only once the email has entered the recipient's information system, with a delivery receipt obtained.

15.3 Standard of Care

Each Party shall act in good faith in the performance of its respective duties and responsibilities under this Agreement. Neither Party shall unreasonably delay or withhold consent or approval that is required for the other Party to perform its obligations under this Agreement.

Furthermore, each Party agrees to provide an acceptable standard of care in all dealings with the other Party and its employees, ensuring a cooperative and professional relationship throughout the term of this Agreement.

15.4 Assignment

Neither Party shall assign or otherwise transfer any of its rights or obligations under this Agreement without the prior written consent of the other Party. In the event that such consent is granted, the terms of this Agreement shall remain binding upon the respective successors or assigns of each Party.

15.5 Entire Agreement

This document constitutes the entire Agreement between the Parties and supersedes all prior agreements, whether written or verbal, between the Parties regarding the provision of the services outlined herein.



15.6 Severability

The provisions of this Agreement shall be deemed severable, and the unenforceability of any provision shall not affect the enforceability of the remaining provisions. In the event that a provision is found to be unenforceable, the Parties agree to substitute it with an enforceable provision that reflects the original intent and position of the Parties as closely as possible.

15.7 Changes to the Agreement

Any changes to this Agreement must be approved in writing by authorized officials of both Parties. Additionally, all changes must adhere to the formal change control procedure outlined in Schedule D of this Agreement.

15.8 Non-Solicitation

During the term of this Agreement and for two years following its expiration or termination, neither party shall solicit any employee of the other party for the purpose of offering employment.

15.9 Exhibits

The Schedules referred to in, and attached to, this document are to be considered an integral part of this Agreement.

15.10 Governing Law

This Agreement shall be governed by the laws of the jurisdiction of South Africa, where the Supplier's principal office is located.



16 SIGNATURES

The following authorised representatives of each party execute this Agreement at the Commencement
Date: 16th April 2024

For the Supplier



Signature: _____

Name: Lukas Janse van Rensburg

Position: Manager

Date of Signing: 16th April 2024

Place of Signature: Krugersdorp

For the Client

Signature: _____

Name: _____

Position: _____

Company: _____

Date of Signing: _____

Place of Signature: _____

17 SCHEDULES

17.1 SCHEDULE A –STANDARD SERVICES

17.1.1 Server Management

17.1.1.1 Server Support

The Supplier will maintain the servers to this Agreement (which may change from time to time) with the following Services:

- Policy implementation and user login support services.

17.2 SCHEDULE B – SERVICE AVAILABILITY

17.2.1 Support

- Standard Business Hours:**
The Supplier's standard business days and hours are Monday to Friday, 08:00 – 17:00.
- After-Hour Support:**
An after-hour helpdesk system is available with a 2-hour response time.
- Service Requests:**
Any service requests, as outlined in Schedule A and B, will be guaranteed under the response timeline provided.
- Emergency Support (Outside Standard Hours):**
If the hosting centre services are unavailable outside of the Supplier's standard business hours, emergency support will be provided. This support will not incur additional charges, provided the issue affects the entire business, not just a single employee or representative. The Supplier will provide emergency support numbers to the Client.
- Hosting Centre Support:**
Hosting centre support is available 24/7/365, backed by HETZNER, IS, and Afrihost.

17.3 SCHEDULE C – PLACE OF DELIVERY

Schedule C provides the location or locations where the Standard and Non-standard Services will be delivered to the Client under the terms of this Agreement.

17.3.1 Hosting Centre - Primary

Microsoft Data Centre
3012 William Nicol Drive
Bryanston
Sandton
Johannesburg
2191

17.3.2 Physical Address - Supplier

34 and 36 Stokroos Avenue
Breananda
Krugersdorp
1739

Tel.: +27 11 768 1790
Tel.: +27 11 768 1035
Fax.: 086 650 3480
email support@sautech.net



17.4 SCHEDULE D – CHANGE CONTROL PROCEDURES

- ↪ **Purpose:**
The change control process ensures that any changes to the Standard or Non-standard Services are introduced in a controlled and coordinated manner. This reduces the risk of introducing faults or undoing previous changes made by other users.
- ↪ **Goals of the Change Control Procedure:**
- Minimal disruption to services.
 - Reduction in black-out activities.
 - Cost-effective utilization of resources.
 - Efficient change implementation.
- ↪ **Authorization Process:** The Client will provide the Supplier with an Authorization Organogram, which will include:
- **Change Control Officer**
 - **Procurement Officer**
 - **Authorized Signatories**

17.4.1 Operational Changes

The Client will use the following methods to request changes or system updates from the Supplier. The table below outlines the change control flow:

Type	Category	Process Flow	Authorization Required	Authorization Type	Signoff Required
New User Addition	Update	User Policy to be followed	Yes	Helpdesk Logging	No
User Deletion	Update	User Policy to be followed	Yes	Helpdesk Logging	No
System Update	System Change	Change Control Policy to be followed	Yes	Document Signoff	Yes
Scheduled Downtime	Availability	Ad-Hoc Backup of System	Yes	Document Signoff	Yes

17.4.2 Emergency System Changes

↪ **Emergency System Change Protocol:**

In the event of the following conditions, an **Emergency System Change** will be initiated:

- Virus outbreak
- Microsoft security patch deployments
- Hardware failure
- Internet failure
- Any unforeseen circumstances affecting the system

- ↪ **Emergency Response:**
- **Notification:** The Client will be notified immediately of the emergency by the Supplier.
 - **Immediate Action:** The Supplier will begin emergency maintenance within **1 hour** of being notified of the occurrence.
 - **Tracking:** The emergency will be logged and tracked via the **Supplier Helpdesk System**.
 - **Pre-deployment Testing:** Before deploying new hardware or patches, the Supplier will first test them on a **Disaster Recovery (DR) image backup** of the environment.
 - **Scheduled Deployments:** All service pack deployments, whether emergency or not, will first be tested in a **DMZ (Demilitarized Zone)** environment before being applied to the live environment on a scheduled basis.
 - **Sign-off:** Changes that do not affect the environment will be signed off by the nominated **IT Manager** and representatives of both parties before implementation.

17.5 SCHEDULE E – SERVICE MONITORING AND PERFORMANCE MEASUREMENT

Schedule E provides detailed information on the monitoring of Standard and Non-standard Services delivered to the Client and the metrics and other means to be applied to each Service component to measure the performance of the Services delivered under the terms of this Agreement.

17.5.1 User Requests

The Supplier uses the following tools to monitor support and system management:

- ↪ **Adventnet System Centre:** This tool is used by the Supplier to log requests, perform backup checks, and manage scheduled maintenance. It allows the Supplier to track and update requests, ensure compliance with the Service Level Agreement (SLA), generate reports, and update service requests as needed.
- ↪ **Client Access:** The Client is also set up on the system, enabling them to access their own reports, track progress, and update requests.
- ↪ **Supplier Helpdesk System:** Any issues specifically related to the Client's business will be logged in the Supplier's Helpdesk System, ensuring dedicated tracking and resolution.



17.6 SCHEDULE F – SERVICE LEVEL REPORTING

Schedule F provides information on the Service level reports required under the terms of this Agreement.

The Service Level Reporting will be downloaded and monitored through the Supplier Service Centre System. The location for the Service Level Reporting tool is: <http://helpdesk.sautech.co.za>

From the system, a full report can be viewed detailing the following;

- § Requests or services outside of SLA hours.
- § Requests or services that did not meet the SLA terms.
- § Requests or services that did meet the SLA terms.
- § Requests or services that were escalated.
- § Requests or services that were escalated and the resolution to the request.

Note: ERT shall mean (Estimated Repair Time)

Problem Priority	Status	Impact	Time	Type	ERT
Priority 1	Mission critical	Serious financial impact	1 Hour Response	No Connectivity affecting more than 1 user	2 Hours
Priority 2	Extremely urgent	Significant financial impact	3 Hour Response	No Connectivity affecting 1 User	4 Hours
Priority 3	Urgent	Medium financial impact	5 Hour Response	User Removal or Creation	8 Hours
Priority 4	Medium priority	Minimal financial impact	1 Business Day	Quotation	24 Hours
Priority 5	Low Priority	No financial impact	2 Business Days	Hardware / Software Delivery, General Queries	48 Hours

17.7 SCHEDULE G – SUPPORT & SERVICE DESK SERVICES

Schedule G outlines the details of the Service Desk services, as well as the On-site and Off-site Support services available to the Client under the terms of this Agreement.

17.7.1 Problem Definition

The following standard problem definitions will apply to the services provided under the terms of this Agreement.

Problem Priority	Status	Impact
Priority 1	Mission critical	Serious financial impact
Priority 2	Extremely urgent	Significant financial impact
Priority 3	Urgent	Medium financial impact
Priority 4	Medium priority	Minimal financial impact
Priority 5	Low Priority	No financial impact

17.7.2 Problem Escalation

To ensure that the Client receives senior management attention for unresolved issues, the Supplier has implemented a problem escalation procedure. This procedure ensures that any unresolved problems are promptly brought to the attention of the Supplier's operational and management personnel, with priority determined by the severity of the issue. There are five levels of problem priorities and three levels of escalation. The detailed escalation process is outlined in Schedule I of this Agreement.



17.8 SCHEDULE H – FEES AND EXPENSES

Schedule H outlines the fee structure and reimbursable expenses that the Supplier will charge for the delivery of Standard and Non-standard Services under the terms of this Agreement.

Description	Quantity	Excl. Price	Total
Sw - Microsoft 365 Business Basic	18	R 130.50	R 2,349.00
* Month to Month Commitment			
*Price may change due to Rand/Dollar Exchange			



17.9 SCHEDULE I – NOTICES

Schedule I provides the address information and contact details for the serving of formal notices in writing to either the Supplier or the Client in accordance with the terms of this Agreement.

The Client

Physical Address

CAJV (Pty) Ltd
28 Bagdad Centre R40
Whiteriver
Tel.: 013 010 1268

The Supplier

Physical Address

Sautech (Pty) Ltd
34 and 36 Stokroos Avenue
Braunanda
Krugersdorp
1739

Tel.: +27 11 768 1790 Cell: 083 481 9449
Tel.: +27 11 768 1035 Fax: 086 650 3480



17.10 SCHEDULE J – CHANGES TO AGREEMENT

Schedule J provides information on the change control procedures to be followed for when it is necessary to consider changes this Agreement.

17.10.1 Contract Change Management Procedure

Scope

Changes will be made by written Agreement between the Client and the Supplier in accordance with the terms of this Schedule.

Procedure

To initiate a Contract Change, the following procedure shall be adopted:

The requestor will prepare a request in collaboration with the other party, ensuring that all necessary information is included for the recipient to consider and reach an informed conclusion. At a minimum, the request should contain:

- § A description of the requested Contract Change;
- § The reason for the Contract Change;
- § Suggested new or amended wording to the Agreement or Service Orders;
- § A suggested plan for implementing the Contract Change, if applicable;
- § Roles and responsibilities for implementation;
- § Cost implications;
- § Impact analysis.

The requestor will submit the request to the authorized person at the other party, as determined from time to time. The recipient shall review the request within a reasonable timeframe. If necessary, the request will be discussed and/or negotiated in a meeting scheduled between the Parties.

If the Contract Change is not accepted, it will be confirmed in writing. If the initial persons from each Party cannot agree on the proposed change, the matter may be escalated to the respective executives of the Parties.

If the Contract Change is rejected, the receiving Party shall provide written reasons within 5 (five) Business Days. The requesting Party may then submit a revised Contract Change request that considers the reasons for rejection.

No changes to this Agreement will be honoured unless reduced to writing and signed by all Parties involved.

